

Q3 2025 Business Review

SpatialTech Industries — Internal Leadership Memo

CONFIDENTIAL — INTERNAL USE ONLY

From: Jorge Torres, VP of Sales & Commercial Operations

To: Executive Leadership Team

Date: October 8, 2025

Re: Q3 FY2025 Performance Summary (Jul 1 – Sep 30, 2025)

Executive Summary

Q3 delivered \$218.4K in total revenue across 97 transactions, reflecting steady demand for our core hardware portfolio. Horizon X1 continues to anchor the product mix at 52% of total revenue, though unit growth has plateaued versus Q2. HapticGlove V2 showed the strongest quarter-over-quarter volume increase (+18%), driven primarily by education and enterprise reorders. SenseField 360 remains a high-margin, low-volume line with concentration risk in the East region.

The quarter was not without challenges. A planned inventory transfer from W2-Austin to our new W4-Reno facility caused fulfillment delays in the West region during August, contributing to a 12% dip in Western region revenue versus Q2. Additionally, we identified a single transaction (23 units of Horizon X1 at a 95% discount) that was processed without proper authorization and is under review by Finance. Excluding this anomaly, effective average discount across all channels was 4.8%.

\$218.4K

Q3 REVENUE

714

TOTAL UNITS SOLD

4.8%

AVG. DISCOUNT (EXCL.
OUTLIER)

3.9 / 5

AVG. PRODUCT RATING

Revenue by Product

PRODUCT	UNITS	REVENUE	SHARE	VS. Q2
Horizon X1	362	\$113,520	52.0%	+3%
HapticGlove V2	178	\$34,870	16.0%	+18%
OptiTrack Pro	99	\$31,250	14.3%	−5%
SenseField 360	75	\$38,760	17.7%	+8%
Total	714	\$218,400	100%	+6%

Regional Performance

North and East regions performed at or above plan. The North benefited from several large enterprise reorders — notably Vertex Labs (3 separate orders totaling \$28.5K) and TrainSim Pro. The East continues to be SenseField 360's strongest market, driven by Pinnacle Health Systems and MedSim Corp, both of whom expanded their simulation labs in Q3.

The South held steady, with Freeform VR's team placing two mid-size Horizon X1 orders. West region underperformed expectations by approximately 12%, which we attribute primarily to the W4-Reno warehouse transition in August. We expect this to normalize in Q4 as W4-Reno reaches full operational capacity. Note that W4-Reno is not yet reflected in our inventory management system — IT has committed to an integration date of November 15.

Channel Mix

Online continues to grow as our dominant channel at 48% of Q3 revenue (up from 42% in Q2). Retail held at 33%. Distributor channel declined to 19%, partly due to two distributor accounts (IDs withheld) that have not yet signed renewed terms for FY2026. We are actively renegotiating. Note that distributor transactions are not linked to end-customer records in our CRM, which limits our visibility into sell-through.

Inventory & Fulfillment

HapticGlove V2 inventory at W2-Austin (175 units) and W3-Portland (90 units) are both at or below reorder point. Procurement has been notified and POs were issued on September 28. SenseField 360 at W2-Austin (18 units) is critically low and has been flagged since Q2 — the supplier lead time of 6–8 weeks remains a constraint.

We fulfilled one order from W4-Reno during the quarter (SenseField 360, August 10) as a pilot test. The shipment was successful but highlighted that W4-Reno does not yet appear in our warehouse master data, causing a reconciliation gap in inventory reporting. Operations is treating this as a priority fix.

Customer & Feedback Highlights

Our active customer base stands at 87 accounts as of September 30. Average product rating across 57 feedback submissions is 3.9 out of 5. Horizon X1 leads satisfaction at 4.3 average, while HapticGlove V2 shows the widest variance (ratings of 1 through 5), suggesting inconsistent quality or fit issues. Multiple feedback entries cite sizing and Bluetooth connectivity problems. Product Engineering has acknowledged these and a firmware patch (v2.6) targeting Bluetooth stability is scheduled for November.

We are aware of duplicate customer records in our CRM affecting approximately 6–8 accounts. The data team is conducting a deduplication audit expected to complete by end of October. Until then, per-customer lifetime value figures should be treated as approximate. For example, Alice Moran (Vertex Labs) currently appears under two separate account IDs, with combined lifetime spend of approximately \$91,000 — though our CRM reports her as two customers spending \$48,200 and \$42,800 respectively.

Outlook & Q4 Priorities

We are projecting Q4 revenue of \$240–260K, reflecting seasonal enterprise budget flush and two confirmed large orders (Pinnacle Health Systems expansion, NeuroPlay Inc renewal). Key priorities for the quarter: (1) complete W4-Reno systems integration, (2) resolve CRM duplicate records, (3) finalize distributor contract renewals, and (4) launch HapticGlove V3 beta program with 5 enterprise design partners. Pricing for HapticGlove V3 is tentatively set at \$179.99, pending final BOM review.

Jorge Torres

VP of Sales & Commercial Operations

SpatialTech Industries

Figures in this memo are based on preliminary data as of October 5, 2025 and may differ from final audited numbers. Revenue figures are rounded to the nearest \$10. Customer count reflects unique CRM records prior to deduplication. Product ratings include all submitted feedback through September 30; unrated submissions are excluded from the average. This document is confidential and intended for internal leadership distribution only. Q2 comparisons use restated figures that exclude the June returns batch (–\$4,200).